CREDIT PAPER: ANNUAL REVIEW

Bunzl plc: £1.25bn Committed Bank Facilities

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Illustrative analysis based only on public company reports. Written from the point of view of a lender in the bank syndicate; not an actual bank credit decision.

1. Summary and recommendation

Item	Detail
Borrower	Bunzl plc, an international distributor of non-food consumables (grocery, foodservice, cleaning and hygiene, safety, healthcare, retail). LSE listed (FTSE 100). S&P BBB+ long term, A-2 short term.
Facility	£1,250m of committed bank facilities: a £950m syndicated revolving credit facility and £300m of bilateral facilities. Undrawn. Originally maturing 2030; Bunzl reports a one-year extension to 2031 since the half year.
Request	Approve the bank's share of the extension from 2030 to 2031 on existing terms. Bunzl reports the extension as already agreed; this review is written as if the decision were still open.
Recommendation	SUPPORT, with the conditions in Section 8. The key condition is that both financial covenants are written into (or kept in) the bank facility agreements for the full life of the extended facilities.
Internal view	Solid investment-grade credit, consistent with BBB+. Overall score 1.9 / 5 (1 = strong).
Covenants	Net debt / EBITDA no more than 3.5x (company-reported 1.5x at 30 June 2026). Interest cover no less than 3.0x (not disclosed; our estimate 11.7x).
Key reason	Low leverage, strong cash conversion and £1,661m of liquidity net of overdrafts. The risk to watch is capital allocation, not earnings: with buybacks and acquisitions continuing, leverage rises from 1.5x to about 2.5x by FY2028E in the base case. Covenants hold through a sustained 15% EBITDA fall (the size of Bunzl's own severe case); a 20% fall breaches leverage in FY2028E only if buybacks and M&A carry on unchanged.

2. Business overview

Bunzl sources, consolidates and delivers non-food products to businesses in 33 countries, with about 27,000 employees, over 15,000 suppliers and revenue of £11.8bn in FY2025. It generally does not manufacture what it sells. North America is 53% of revenue, Continental Europe 21%, the UK & Ireland 16% and the Rest of the World 10%.

Trading has been steady rather than strong. Revenue was £11,797m in FY2023 and £11,845m in FY2025, but adjusted operating profit fell 6.7% in FY2025 (4.3% at constant exchange rates) to £910.3m, with North America profit down 14.6% (11.5% at constant rates) and tariff-related supply chain disruption. H1 2026 recovered: adjusted operating profit rose 8.9% (8.0% at constant rates) to £440.6m, the reported margin improved to 7.3% from 7.0%, and margin guidance for the year was raised to broadly flat. Free cash flow of £327.8m includes about £71m of US tariff refunds that are expected to be returned to customers (£256.8m excluding them). The Q3 update (20 October 2026) reported underlying revenue growth of 3.7% and reiterated guidance.

Capital allocation is the live debate. A £500m buyback was announced with the half-year results on 1 September 2026 (about £225m done by 20 October), and the activist Elliott is reported to hold nearly 5% and to be pressing for buybacks and a review of North America. Acquisition spend swings widely: £882m committed in 2024, £132m in 2025.

3. Key credit strengths and risks

Strengths	Risks
• Conservative leverage: covenant leverage 1.5x against a 3.5x limit; adjusted net debt / EBITDA 1.8x, below the 2.0-2.5x target. • Strong cash conversion: free cash flow £578.5m in FY2025 (95% conversion against a 90% target). • Ample liquidity: £1,250m undrawn, nothing drawn; about £1,661m net of overdrafts. First bond maturity is October 2030. • Diversified and defensive: 33 countries, many sectors, essential consumables; 33 consecutive years of dividend growth; S&P BBB+ / A-2.	• Capital allocation: Elliott pressure and a £500m buyback. Dividends, buybacks and acquisitions (about £800m a year in FY2027E-FY2028E) exceed free cash flow, so leverage drifts up. • Covenant protection falls away: under a clause in the 2022 USPPs, the principal covenants stop applying once the earlier USPPs mature (latest 2028), before the 2031 bank maturity. • North America (53% of revenue) is the weakest recent performer (FY2025 profit down 14.6%, 11.5% at constant rates); group profit fell 6.7%. • Data gaps: interest cover actual not disclosed; sources do not say which facilities carry the covenants; H1 2026 cash flow is flattered by tariff refunds owed to customers.

4. Financial performance

£m	FY2023	FY2024	FY2025	LTM Jun-26
Revenue	11,797	11,776	11,845	12,019
Adjusted operating profit	944	976	910	946
Adjusted operating margin	8.0%	8.3%	7.7%	7.9%
Adjusted EBITDA, pre-IFRS 16 (calculated)	963	995	931	969
Net debt excl. leases (covenant basis)	1,086	1,611	1,664	1,432
Adjusted net debt (incl. deferred consideration)	1,344	1,987	1,943	1,683
Covenant leverage, company reported (limit 3.5x)	1.1x	1.5x	1.8x	1.5x
Adjusted net debt / EBITDA, company reported	1.2x	1.8x	2.0x	1.8x
Interest cover, our proxy (minimum 3.0x)	15.6x	15.4x	11.3x	11.7x
Free cash flow (company definition)	644	634	579	663
Liquidity, net of overdrafts	1,405	1,379	1,578	1,661

Earnings have been stable to slightly lower, but net debt has risen. Net debt excluding leases rose from £1,086m at the end of FY2023 to £1,664m at the end of FY2025: over those two years free cash flow of £1,212m was outweighed by £1,764m of dividends (£471m), buybacks (£453m) and acquisitions including related costs (£840m). In H1 2026 net debt fell to £1,432m, helped by £328m of free cash flow (including about £71m of tariff refunds owed to customers) and no buyback spend; the £500m buyback will reverse part of that. Leverage on the company's own measures remains low.

Our EBITDA is calculated as adjusted operating profit plus depreciation and software amortisation less lease payments, to match Bunzl's historical (pre-IFRS 16) covenant basis. It reproduces the reported 1.8x (FY2025) and 1.5x (LTM) within 0.1x; the largest gap is FY2024 (1.6x calculated vs 1.5x reported), the year of record acquisitions, most likely because the company annualises acquired EBITDA. Bunzl does not disclose the interest cover actual, so we estimate it; even on a harsher all-in measure (including lease interest and FX noise) cover is 7.6x LTM.

5. Debt structure and liquidity

Facility	Size	Drawn	Rate	Maturity
Syndicated revolving credit facility	£950m	Nil	Not disclosed	2031 (extended from 2030)
Bilateral bank facilities	£300m	Nil	Not disclosed	2031 (extended from 2030)
Senior bond £400m	£400m	£400m	1.500%	Oct 2030
Senior bond £250m	£250m	£250m	5.250%	Mar 2031
Senior bond €500m	c.£431m	c.£431m	3.375%	Apr 2032
Senior bond £250m	£250m	£250m	5.750%	Mar 2036
US private placement notes	£523m	£523m	Not disclosed	2026-2032 (c.£184m repays by Dec 2027)
Commercial paper (31 Dec 2025)	£87m	£87m	Not disclosed	Up to 3 months (€1bn and $1bn programmes)
Lease liabilities (IFRS 16), 30 Jun 2026	£741m	n/a	Various	Various; excluded from covenant net debt

The bank facilities are the liquidity backstop for commercial paper and the USPP and bond maturities. Gross liquidity is £1,848m (cash plus undrawn facilities); net of £187m of overdrafts, which offset pooled cash, it is £1,661m. Identified debt maturing by the end of 2027 is small (about £184m of USPPs plus £87m of commercial paper at 31 December 2025), and the first bond falls due in October 2030. The funding mix of bank, bond and private placement debt is well spread. The one structural issue is that the USPPs issued in March 2022 contain a clause under which the principal covenants "will no longer apply" once the previously issued USPPs mature (latest 2028), before the 2031 bank maturity, unless the covenants are written into the extended bank facilities.

6. Covenants and stress test

The base case follows company guidance for 2026 (broadly flat operating margin, held at 7.6%; net finance expense £125-130m; tax rate 26%) with revenue growth of 1.5%, 3.0% and 3.0%, buybacks of £350m, £250m and £250m (the £500m programme was about 45% complete by 20 October) and acquisitions of £150m, £300m and £300m. Borrowing above the FY2026E base level is charged at 5.5%, in line with Bunzl's 2025 sterling bond coupons. The downside cuts EBITDA by 20% in every year with no management action: dividends, buybacks and acquisitions are unchanged. This is harsher than Bunzl's own severe-but-plausible case, a 15% fall in adjusted operating profit.

	FY2026E	FY2027E	FY2028E
Base: covenant leverage (limit 3.5x)	2.0x	2.3x	2.5x
Base: adjusted net debt / EBITDA (company target 2.0-2.5x)	2.3x	2.6x	2.8x
Base: interest cover, proxy (min 3.0x)	10.8x	9.6x	8.6x
Downside: covenant leverage	2.7x	3.2x	3.7x
Downside: interest cover, proxy	8.2x	6.9x	5.8x
Downside: interest cover, harsher all-in measure	5.5x	4.9x	4.3x
Downside: EBITDA headroom to leverage limit	21.5%	7.3%	−6.5% (breach)
Downside with buybacks and M&A stopped from FY2027E: leverage	2.7x	2.5x	2.3x
Downside: net debt excl. leases (£m)	2,056	2,496	2,945

Leverage, not interest cover, is the covenant to watch. In the base case leverage rises to about 2.5x by FY2028E and adjusted net debt / EBITDA moves above Bunzl's own 2.0-2.5x target from FY2027E, so the base case assumes more shareholder returns than the company's policy would normally allow. In a sustained 20% downside with no management action, leverage breaches 3.5x in FY2028E (3.7x). The largest sustained fall the covenant absorbs to FY2028E is about 16%, so a 15% fall, the size of Bunzl's own severe-but-plausible case, passes (3.4x). The mitigant is in management's hands: stopping about £550m a year of buybacks and acquisitions keeps the 20% case at about 2.3x. Interest cover never binds (5.8x at the low point). On a static basis from the FY2026E base, EBITDA would have to fall about 42% (to £547m) before leverage breaches 3.5x, close to Bunzl's own reverse stress test (over 45%), and 57-72% before interest cover breaches 3.0x. Liquidity is ample, with £1,250m undrawn.

7. Risk assessment

Factor	Score	Comment
Industry and cyclicality	2	Everyday consumables; FY2025 profit down 6.7%.
Market position and scale	2	£11.8bn revenue, 33 countries, BBB+.
Diversification	2	Four regions; North America 53%.
Management and strategy	3	Elliott, buybacks, swingy M&A.
Leverage	2	1.5x covenant; c.2.5x by FY2028E in base case.
Interest cover	1	c.11.7x proxy; not binding.
Cash flow generation	1	£578.5m FCF; 95% conversion.
Liquidity and refinancing	2	£1.25bn undrawn; covenants fall away 2028.
Overall	**1.9**	**Solid investment grade; consistent with BBB+.**

Scores run from 1 (strong) to 5 (weak); the overall score is the simple average of the eight factors. This is an analyst view, not an external credit rating.

8. Recommendation and conditions

Recommendation: SUPPORT the extension of the bank's share of the £1.25bn committed facilities from 2030 to 2031, on existing terms.

- Include (or retain) both financial covenants (net debt / EBITDA no more than 3.5x; interest cover no less than 3.0x) in the bank facility agreements until final maturity, so protection does not lapse when the pre-2022 USPPs mature in 2028.
- Semi-annual compliance certificates that state the actual interest cover (not disclosed publicly).
- Early-warning review if covenant leverage exceeds 2.5x (our base case reaches about 2.5x by FY2028E), adjusted net debt / EBITDA exceeds 3.0x, or liquidity net of overdrafts falls below £1,000m.
- Notify and review on any single acquisition above £500m, or any new buyback programme that would take covenant leverage above 2.5x.

- Review on any S&P downgrade below BBB. Pricing and fees to be set by the relationship team; the margin is not public.

Why support: Bunzl is a low-leverage, highly cash-generative BBB+ credit. Its covenants hold in the base case and through a sustained 15% EBITDA fall, the size of its own severe case; a sustained 20% EBITDA fall would breach leverage only if buybacks and acquisitions continued unchanged, and stopping them keeps leverage at about 2.3x. The extension moves the bank maturity beyond the first bond maturity (October 2030). The main risk is shareholder-friendly capital allocation under activist pressure, which the conditions above are designed to monitor and cap.

Appendix: sources and method

- Bunzl plc 2026 Half Year Financial Report (1 September 2026): condensed statements, financial review, treasury, covenants, going concern; Q3 2026 Trading Update (20 October 2026).
- Bunzl plc 2025, 2024 and 2023 Financial Statements and Full Year Results announcements: primary statements, notes, net debt, treasury and covenants; Bunzl website debt information page (bond coupons and maturities); Modern Slavery Statement 2026, covering FY2025 (business description).
- Elliott's stake: interactive investor (ii.co.uk) commentary by Richard Hunter, not a company source.
- All reported figures in the accompanying Excel model are linked to a source and page reference, and calculated lines are reconciled to the company's reported figures. EBITDA, interest cover, the forecasts, the 5.5% marginal cost of debt and the stress cases are the author's own estimates and assumptions.